

Revenue Recognition Policy

Synthetic Cedar Works internal policy | FY2026 Q1 | Not external accounting guidance

Policy objective

Record account 4000 revenue only when the Cedar Works internal revenue trigger is supported, the amount is traceable to the approved commercial record, and the posting date reflects the supported close period.

Control principle: billing, cash collection, or a planned delivery date alone does not establish the internal revenue trigger.

Internal revenue trigger

Evidence	Required check	Close treatment
Approved commercial record	Deliverable, amount, and terms are identifiable.	Retain source reference.
Completion evidence	Service or inventory milestone is complete.	Record in supported period.
Review evidence	Independent reviewer confirms cutoff and coding.	Post only after review status is complete.

Cutoff operating rules

For March 2026, preparers evaluate activity through 2026-03-31. Completed milestones supported by that date are recorded in March. Milestones not complete by that date remain deferred or unrecorded until the trigger is met.

Changes after close require a dated source reference, impact assessment, and materiality routing. Estimates require a documented basis and reversal plan when routine processing will supersede the estimate.

Review and exceptions

Condition	Action
Revenue adjustment below JPY 5.0m	Finance Manager review with trigger evidence and cutoff rationale.
Revenue adjustment JPY 5.0m or more	Controller approval plus reconciliation bridge if the item affects a close estimate.
Missing completion evidence	Do not post revenue; log the exception and assign an owner.

Retention

Store the controlled support package using the approved finance naming standard. The package must include the commercial record, completion evidence, journal reference, and review evidence.